Tengo business case: a bank-embedded money date for irregular earners

Prepared 2026-10-21. Every number comes from `docs/review/model.xlsx` (Base scenario unless stated), whose inputs are sourced or labelled **Assumption** in `docs/review/model-inputs.md`. No user or bank data exists yet: the outcomes a bank would pay for are assumptions until a pilot measures them.

The offer

Tengo is a feature a bank switches on inside its own app for customers paid by the trip, the client or the till. It shows the date the money runs out, when the next money usually lands, and one state in plain words (Enough, Tight, Short), worked out on the phone from the bank's own data.

Pricing (model (a), licence):

Item	Base	Range in the model
Licence per monthly active user	R5 a month	R2 to R12
Six month pilot fee	R400 000	R150 000 to R1 000 000
Annual platform minimum after the pilot	R1 200 000	R600 000 to R3 000 000

Users never pay. A consumer subscription does not fit this segment (model (c) shows negative contribution in the Base scenario).

Messages: in-app notifications, not paid WhatsApp. A daily WhatsApp message costs more than the licence leaves; in-app push inside a bank app costs R0 a message in the model. WhatsApp or SMS is used only if the bank pays for it, and every message carries the sender and STOP.

What a bank already has, and what Tengo adds

A bank already has	Tengo adds
Balances, transaction history, debit orders	The date money runs out, with a likely range tuned to about 80 percent coverage on synthetic data, not yet held out or tested on real statements
Budgets and spend categories that assume a payday	Next money inferred from irregular income: weekday, interval, daily or paused
Overdraft and credit products	One plain state with rules that never suggest borrowing, skipping credit or insurance, or cutting stock
A mobile app and notifications	Shared-phone protections, plain-language copy, a design built and tested for people without a payday

The arithmetic is simple and a bank could build it. Tengo's claim is the tested rules, the copy, the safety design and the evidence from a pilot, delivered faster than an internal build.

Data contract

Tengo needs from the bank	Tengo returns to the bank
Up to 90 days of transactions per consenting customer (date, amount, description, category)	Nothing about individuals. The forecast runs on the phone
Available balance, and any overdraft facility shown separately	Aggregated, consented pilot metrics only (below)
Scheduled debit orders as known bills	A monthly accuracy report on the bank's own data

Purpose limit: Tengo's outputs may not be used for credit decisions, pricing, collections or marketing without fresh, separate consent and a POPIA section 71 assessment.

Unit economics (Base scenario, one partner bank)

Output	Value
Serviceable market (people)	3 300 000
Steady-state monthly active users, one bank	44 064
Variable cost per active user per month	R1.19
Fixed cost per month	R310 403
Contribution per active user per month, licence	R3.81
Active users needed to break even, licence	81 374
Peak funding need	R4 728 272
First profitable month	beyond month 24

One bank at Base adoption does not break even on the licence alone. The pilot fee and the platform minimum carry the early months; a second bank or a sponsor programme closes the gap. The Ambitious scenario (330 480 active users) is profitable from month 1; the Conservative one never is.

Value to the bank (assumptions): about R30.50 per active user a year against R60 of licence, or R0.51 of value per rand of licence, driven mostly by retention and balances. This is the weakest part of the case and is exactly what the pilot measures.

Pilot design and KPIs

Six months, one bank, a randomised control group of offered-but-not-shown customers.

KPI	Measured how	Why it matters
Unpaid debit orders per user	Treatment against control	Fees avoided and bank cost
Average balance and days below R0	Treatment against control	Balances and overdraft use
90 day retention of the account	Treatment against control	The main value driver in the model
Forecast accuracy on real data	Error in days and band coverage	Replaces the synthetic backtest
Comprehension	The six-person test kit, then in-app questions	People read the date, range and state correctly
Opt-in and opt-out of messages	Rates by state	Avoidance and anxiety

Stop rule: if people read the date as a deadline and make worse decisions, or real-data accuracy is far below the stated range, the pilot pauses.

Changes from the build

Build 2 does not change any modelled cost: messages are still templates (no paid model calls), in-app push is already modelled at R0, and the forecast still runs on the device. The optional account storage used outside a bank is covered by the hosting line (R0.15 per active user a month, an assumption). So `model.xlsx` is unchanged.